

----- Forwarded by Marianne Castano/HOU/EES on 09/27/2000
09:02 AM -----

Enron Energy Services

From: Marianne Castano 09/27/2000 09:00 AM

To: Mona L Petrochko/SFO/EES@EES
cc: Diann Huddleson/HOU/EES@EES
Subject: Re: SDG&E Credits

Jeff & Mona: We have confirmed that our contracts are silent on the issue. Question remains as to what the language of the original decision was...Can you suggest someone who can dig into this for us? Should I just phone Mike Day? Let me know...MLC

From: Jeff Dasovich on 09/22/2000 10:22 AM

To: Mona L Petrochko/SFO/EES@EES, Susan J Mara/SFO/EES@EES, Richard Shapiro/HOU/EES@EES, Marianne Castano/HOU/EES@EES, Harry Kingerski/NA/Enron@Enron, Paul Kaufman/PDX/ECT@ECT
cc:
Subject: SDG&E Credits

Likely needs to be a legal analysis based on the language of the original decision establishing the credits. But seems to me that we have a deal with our customers to receive service according to price, terms and conditions stated in our contracts with those customers, and that the contract language would govern how the credit is treated. If the contracts don't speak to the issue of credits, seems that our contract agrees to provide rez customers with service for a a certain price, and as such, it would be up to us whether we flow it through. But a lawyer, I am not. Are our contracts silent on the issue?

Best,
Jeff

----- Forwarded by Jeff Dasovich/SFO/EES on 09/22/2000 10:16 AM -----

Marianne Castano
09/22/2000 08:41 AM

To: Mona L Petrochko/SFO/EES@EES, Jeff Dasovich/SFO/EES@EES
cc:
Subject: SDG&E Credits

Can either of you help me out with this question? MLC

----- Forwarded by Marianne Castano/HOU/EES on 09/22/2000
08:41 AM -----

Enron Energy Services

From: Karen A Cordova 09/21/2000 05:00 PM

Phone No: 713.853.3150

713.646.8860 - FAX No.

To: Marianne Castano/HOU/EES@EES

cc:

Subject: SDG&E Credits

Diane Huddelston called Lori Pinder about an issue; Here it is:

Due to the merger btw SDG&G & Sempra Energy (about a year or less ago), a savings was realized. The CPUC said these savings must be passed on to customers 1 time per year, in September. They are called Annual Merger Credits.

Pursuant to all commercial contracts, Enron is entitled to keep the savings (per Diane). What about the residential customer accounts?

Enron keeps the savings or should the residential customer receive?

Who could handle this issue for Diane?

Thanks, KC